healthy GDP growth numbers. The fiscal deficit, though at a high of 6.4 per cent in FY23, had a clear glide path on how to be brought down to manageable levels. Big goals were also set for green energy initiatives, capturing the imagination of large corporates and top investors at home and abroad. A buoyant sentiment pervaded Indian stock markets as well, with the Sensex breaching the 75,000-mark in April this year. India is increasingly being seen as a bright spot for investment opportunity, aiding the flow of overseas funds into Indian equities.

There are some dark clouds, too, to these silver linings. Barring Air India and LIC, the government's ambitious plans for outright asset sale or privatisation are hanging fire. The ambition to reform agriculture likewise had to be buried in the face of farmers' year-long

It was an unpopular move, but Modi chose fiscal prudence over profligacy to steer the country through the Covid-19 pandemic. It paid off

protest. Agriculture growth, therefore, has remained stagnant at 4 per cent across Modi's two terms and has slipped to 1.4 per cent in FY24, with farmers clearly unhappy about the policy drift. Labour reforms, too, are in a limbo as the central legislation passed in 2019-20 remains stalled. The reform process in land, another major factor of production, remains sketchy as well. A land acquisition ordinance passed during Modi's first term was allowed to lapse soon after.

The promise of enhancing manufacturing contribution from 15 per cent to 25 per cent of GDP and enabling job creation remains a pipe dream. With skill development programmes as well as logistics infra lagging, the desire to be an alternative global supply chain to China remains unfulfilled. And though exports have perked up in the past two years, they are still performing way below potential.

To boost manufacturing in India, the government had introduced the production-

HIT DIGITAL PAYMENTS

LEADING THE WORLD

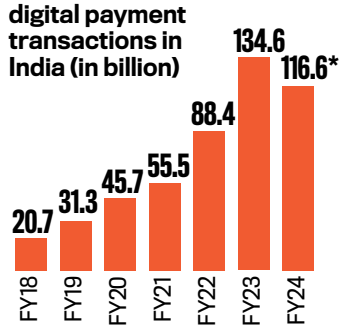
With the advent of UPI, the volume of digital payments recorded a 550 per cent surge between FY18 and FY23, making India a model for other economies

ON FEBRUARY 2, THE INDIAN EMBASSY IN FRANCE MADE A BIG ANNOUNCEMENT on X: "UPI formally launched at the iconic Eiffel Tower at the huge Republic Day Reception." Now, Indian tourists visiting this Paris landmark can buy its ticket by just scanning a QR code on their Unified Payments Interface (UPI) app, which marks the Indian payment gateway's entry into the European market.

Launched in 2016, UPI has emerged as a cornerstone of Prime Minister Narendra Modi's push for cashless economy and digital India—especially after the demonetisation move the same year. Consolidating a person's multiple bank accounts into a single app, it allows seamless fund routing and hassle-free payments. It also holds strategic significance for India, as several countries look for ways to reduce their overseas payment dependence on the US-controlled SWIFT system.

SURGING E-PAYMENT

The number of digital payment transactions in India (in billion)



*FY24 figures are till Dec. 2023

Source: RBI/ NPCI/ DigiDhan



Illustration by **RAJ VERMA**